

Tuck-in acquisitions to expand offerings and capabilities



Persistent Systems acquired assets of Data Glove IT Solutions which specializes in providing services across the entire Microsoft Product Suite

- **Total purchase consideration at \$90.5 Mn** which includes **upfront payment of \$50.69 Mn, earnouts of \$34.88 Mn** over next 2 years and **Retention & Performance based payment of \$4.93 Mn** over next 3 years.
- Acquisition is at 1.95x CY21 revenue
- Data Glove Group specializes in providing services across the entire Microsoft Product Suite including Azure based digital transformation, data modernization, cloud advisory services, business application innovation, workspace modernization and intelligent automation. Persistent is mainly acquiring the assets due to its Cloud and Application Transformation and Infrastructure and Managed Services capabilities
- Data Glove's consolidated revenue stood at \$48.96 Mn for CY21, \$38.51 Mn for CY20 and \$37.3 Mn for CY19

Concall Highlights

- M&A Focus in high growth areas of Cloud, Infra, Security, Data, Salesforce
- User industry has moved from Data Centre to Private Cloud to Hybrid Cloud to Multiple Cloud adoption which compels service providers to have capabilities across different Cloud platforms
- Purpose of the acquisition is to accelerate and deepen relationship with Microsoft, create value with new and expanded offerings and expand geographic footprint and talent pool (Data Glove has nearshore delivery presence in Costa Rica with 70+ engineers)
- Vision is to scale partnership with Microsoft like with IBM. With this acquisition, Persistent will "sell to" Microsoft where it will do Product Development and IT services and "sell with" Microsoft to its customers where it will deliver services and solutions through Microsoft.
- Currently, Salesforce practice and IBM account are \$100 Mn+ businesses for Persistent and plans to scale up Microsoft practice also.
- Data Glove has 700+ SKUs that will add value to Persistent's offerings
- Expected impact on FY23 of 75 Bps (amortization mainly) on EBIT level which will be absorbed over a period of time

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21E	FY22E	FY23E	FY24E
Net sales	35,658	41,879	56,812	72,879	81,356
EBITDA	4,923	6,830	9,527	11,684	13,593
Adjusted net profit	3,403	4,507	6,864	8,217	9,756
Free cash flow	1,630	5,670	5,651	4,563	9,771
EPS (Rs)	44.5	59.0	89.8	107.5	127.7
growth (%)	1%	32%	52%	20%	19%
P/E (x)	94.2	71.1	46.7	39.0	32.8
P/B (x)	94.2	71.1	46.7	39.0	32.8
EV/EBITDA (x)	64.3	45.6	32.3	26.5	22.3
ROCE (%)	10.2	14.1	18.7	18.7	18.7
RoE (%)	14.4	17.4	22.7	23.2	23.5
Dividend yield (%)	0.3	0.3	0.5	0.6	0.7

Source: Company

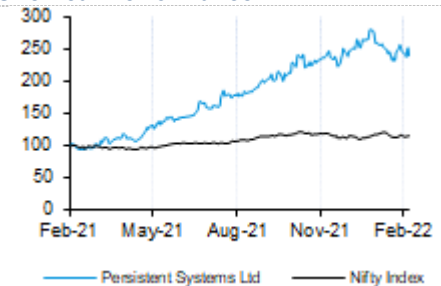
Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	5,106	22

Market data

Current price	Rs	4,193
Market Cap (Rs.Bn)	(Rs Bn)	321
Market Cap (US\$ Mn)	(US\$ Mn)	4,279
Face Value	Rs	10
52 Weeks High/Low	Rs	4987.5 / 1595
Average Daily Volume	('000)	289
BSE Code		533179
Bloomberg		PSYS.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Sep-21	Jun-21
Promoters	31.26	31.26
Public	65.51	65.69
Othres	3.23	3.05
Total	100	100

Source: BSE

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- EBITDA margins are similar to Persistent due to offshore delivery nature of business. With Data Glove, the aspiration is to carry on last year's growth momentum
- 75-80% of Data Glove's revenue of company comes from Microsoft which is partly billed to Microsoft and through Microsoft introductions. When MS goes for any large engagements it partners with smaller companies like Data Glove for implementations. This can be on infra modernization, app modernization, etc.
- 85% of revenue comes from Cloud Transformation Projects
- Data Glove's *Client bucket* - top client would be \$8-10 Mn, Top 5-7 would be in \$2-4 Mn and balance in \$ 1 Mn buckets
- Persistent borrow \$35 Mn (foreign currency loan) for the upfront payment
- Currently, Microsoft Cloud related work (excluding development work) would be \$25 Mn for Persistent and combined with Data Glove would increase to \$75 Mn
- Plan to initiate Cloud practice with 3 other Cloud Providers as well – 2 of which will be organic talent and 1 may be acquisition
- 5-6% of Data Glove's revenue comes from other Service Providers which may be lost out upon acquisition
- Earnouts will go to founders which are coming on board after acquisition
- 45% of EV would go towards Intangibles

Valuation & Outlook

Based on our revised estimates, **Persistent is currently trading at 39x / 32.8x FY23e / FY24e EPS**. We believe that acquisition of Data Glove is in the right direction as the company expands its offerings and capabilities across all Cloud platforms. Ambition to scale up presence and offerings across all Cloud platforms should bode well for the services and product development solutions for Persistent and set the stage for it to compete with larger peers more effectively

Taking all the above factors into consideration, **we retain a BUY rating on the stock with a target price of INR 5,106 based on FY24e EPS estimates.**

Financial

Profit & Loss A/c						Balance Sheet (Consolidated)					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E	YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	35,658	41,879	56,812	72,879	81,356	Liabilities					
Growth %	5.9%	17.4%	35.7%	28.3%	11.6%	Equity Capital	764	764	764	764	764
Total Revenue	35,658	41,879	56,812	72,879	81,356	Reserves & Surplus	23,093	27,192	31,846	37,418	44,032
Employee Cost & Related Expenses	25,475	30,722	42,152	53,295	57,915	Equity	23,858	27,957	32,610	38,182	44,796
Miscellaneous Expenses	5,260	4,327	5,132	7,900	9,849	Net Worth	23,858	27,957	32,610	38,182	44,796
Total Operating Expenditure	30,735	35,049	47,284	61,194	67,764	Total Loans	407	760	760	3,385	3,385
EBIDTA	4,923	6,830	9,527	11,684	13,593	Capital Employed	24,448	28,958	33,727	41,999	48,663
Growth %	-10.6%	38.8%	39.5%	22.6%	16.3%	Assets					
Less: Depreciation	1,660	1,756	1,643	2,153	2,381	Gross Block	7,370	7,885	8,885	13,618	14,618
EBIT	3,263	5,075	7,885	9,532	11,212	Less: Depreciation	5,145	5,483	7,126	9,278	11,659
Growth %	-17.1%	55.5%	55.4%	20.9%	17.6%	Net Block	2,225	2,401	1,759	4,340	2,959
Interest Paid	63	58	95	186	186	Investments	5,311	4,089	4,355	4,634	4,829
Non-operating Income	1,324	1,078	1,421	1,713	1,903	Intangible Assets	1,661	1,315	1,784	4,975	4,975
Profit Before tax	4,523	6,094	9,211	11,059	12,929	Current Assets					
Tax	1,121	1,588	2,347	2,841	3,173	Sundry Debtors	5,922	5,709	7,782	9,983	11,145
Net Profit	3,403	4,507	6,864	8,217	9,756	Current Investments	5,165	6,375	7,386	8,745	9,763
Adjusted Profit	3,403	4,507	6,864	8,217	9,756	Cash and Bank Balance	4,572	9,809	13,200	14,062	20,244
Reported Diluted EPS Rs	44.5	59.0	89.8	107.5	127.7	Total Current Assets	20,032	26,838	34,646	40,115	49,328
Growth %	1.3%	32.4%	52.3%	19.7%	18.7%	Less: Current Liabilities & Provisions					
Adjusted Diluted EPS Rs	44.5	59.0	89.8	107.5	127.7	Sundry Creditors	2,247	2,733	3,757	4,862	5,384
Growth %	1.3%	32.4%	52.3%	19.7%	18.7%	Total Current Liabilities & Provision	6,474	7,697	11,020	14,084	15,680
Key Ratios						Capital Applied	24,448	28,958	33,727	41,999	48,663
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E	Cash Flows (Consolidated)					
EBIDTA (%)	13.8%	16.3%	16.8%	16.0%	16.7%	YE March (Rs. Mn)	FY20	FY21	FY22E	FY23E	FY24E
NPM (%)	9.5%	10.8%	12.1%	11.3%	12.0%	PAT	3,403	4,507	6,864	8,217	9,756
RoE (%)	14.4%	17.4%	22.7%	23.2%	23.5%	Add: Depreciation	1,660	1,756	1,643	2,153	2,381
RoCE (%)	10.2%	14.1%	18.7%	18.7%	18.7%	Add: Interest Paid	63	58	95	186	186
Tax Rate %	24.8%	26.1%	25.5%	25.7%	24.5%	Operating Profit before WC Changes	3,802	5,242	7,180	8,843	10,420
Book Value Per share (Rs.)	312.2	365.8	426.7	499.6	586.1	(Inc)/Dec in Current Assets	(1,250)	(359)	(3,406)	(3,248)	(2,013)
Valuation Ratios						(Inc)/Dec in Current Liabilities	1,629	1,223	3,323	3,064	1,596
P/E (x)	94.2x	71.1x	46.7x	39.0x	32.8x	Net Cash Generated From Operations	4,181	6,107	7,097	8,659	10,003
EV/EBITDA	64.3x	45.6x	32.3x	26.5x	22.3x	Cash Flow from Investing Activities					
P/BV (x)	13.4x	11.5x	9.8x	8.4x	7.2x	(Inc)/Dec in Fixed Assets	20	(515)	(1,000)	(4,733)	(1,000)
Market Cap. / Sales (x)	9.0x	7.7x	5.6x	4.4x	3.9x	Add: Non Operating Income	1,324	1,078	1,421	1,713	1,903
						Cash Flow from Investing Activities	406	2,098	(728)	(6,935)	474
						Cash Flow from Financing Activities					
						Dividend Paid	(917)	(1,577)	(1,922)	(2,301)	(2,732)
						Net Cash Flow from Financing Activities	(4,303)	(1,472)	(2,189)	(132)	(3,278)
						Net Inc/Dec in cash equivalents	284	6,733	4,179	1,592	7,199
						Opening Balance	6,724	4,572	9,809	13,200	14,062
						Closing Cash Balance	7,008	11,305	13,988	14,792	21,261
						Free Cash Flow Analysis					
						FY20	FY21E	FY22E	FY23E	FY23E	
						EBITDA	4,923	6,830	9,527	11,684	13,593
						Add: Depreciation Tax Shield	411	457	419	553	584
						Working Capital Changes	-2,604	485	-948	-100	-233
						Less: Inc in FC Investment	-20	515	1,000	4,733	1,000
						Taxes Paid	1,121	1,588	2,347	2,841	3,173
						Total Free Cash Flows	1,630	5,670	5,651	4,563	9,771

Source: Dalal & Broacha Research, Company

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